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RESOLUTION NO. 26- 77

A RESOLUTION OF THE CITY COUNCIL OF THE CITY OF BENICIA, CALIFORNIA, SUBMITTING ONE BALLOT MEASURE TO THE VOTERS TO CONSIDER AN UPDATE TO THE CITY'S BUSINESS LICENSE TAX BY AMENDING BENICIA MUNICIPAL CODE CHAPTER 5.04 ("BUSINESS LICENSES") AND CHAPTER 5.06 ("BUSINESS LICENSES TAX"), TO BE CONSIDERED BY THE VOTERS AT THE CONSOLIDATED GENERAL MUNICIPAL ELECTION ON NOVEMBER 3, 2026; AND DESIGNATING INDIVIDUALS TO SUBMIT PRIMARY AND REBUTTAL BALLOT ARGUMENTS IN FAVOR OF THE BALLOT MEASURE

WHEREAS, the City Council of the City of Benicia ("City Council") is authorized to levy a business license tax ("BLT") for general governmental purposes (a "general tax") pursuant to the City's constitutional police power under California Constitution Article XI, section 7, and subject to the constitutional limitations under Proposition 218 (California Constitution Article XIII C, Section 2(b)) and the legislative authority and limitations set forth in Government Code Sections 37100.5 – 37101.7 and California Revenue and Taxation Code Section 7284, subject to approval by a two-thirds vote of all members of the City Council and by a majority vote of the electorate pursuant to Proposition 218 and California Government Code Section 53724; and

WHEREAS, the City Council is authorized to submit a measure for voter consideration to enact an ordinance at a general municipal election pursuant to California Elections Code Sections 9222 and 10201; and

WHEREAS, the City has an existing BLT codified at Benicia Municipal Code Chapters 5.04 and 5.06 ("BLT Ordinance") by which the City taxes "every person who engages in business within the city . . . in an amount calculated pursuant to Chapter 5.06" of the Benicia Municipal Code.

WHEREAS, the City Council intends to present a ballot measure for the voters to consider an ordinance to update and modernize the manner by which the City imposes the BLT on businesses, and that ballot measure will be presented as a general tax imposed for general governmental purposes, with revenue from the tax to be placed in the City's general fund to pay for any general governmental purpose; and

WHEREAS, on July 21, 2026, the City Council adopted separate resolutions to: (1) call and give notice of the General Municipal Election to be held on November 3, 2026; and (2) authorize and request the County of Solano to consolidate the General Municipal Election with the Statewide General Election; and

WHEREAS, the City Council intends to submit the Ballot Measure described herein to be considered by the voters at the consolidated General Municipal Election on November 3, 2026; and

WHEREAS, the full text of the BLT measure to be submitted to the voters for consideration is as set forth on the "Ordinance Amending Benicia Municipal Code Chapter 5.04 (Business License Tax) and Chapter 5.06 (Business License Tax Rates) to Update

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the City's Business License Tax," as set forth on Exhibit "A," attached hereto and incorporated herein by reference ("Ballot Measure").

NOW, THEREFORE, BE IT RESOLVED, by the City Council of the City of Benicia, as follows:

SECTION 1. Recitals. The City Council hereby finds that the facts and determinations set forth in the recitals to this resolution are true and correct and support the City's Council's adoption of this resolution.

SECTION 2. Ballot Measure. The City Council, by two-thirds vote of all members, hereby orders the submission of the Ballot Measure for consideration of the qualified electors of the City at the general municipal election on November 3, 2026, and requests the Solano County Elections Department to conduct the election and consolidate it with the statewide election to be held on November 3, 2026.

A. Subject to majority vote approval by the electorate of the general tax described in the Ballot Measure, the City Council hereby approves the ordinance, and the form thereof as set forth on Exhibit "A" (the "Ballot Measure"). (See California Constitution Article XIII C, Sections 1(a) and 2(b), California Elections Code Sections 9222 and 12001, California Government Code Sections 37100.5 – 37101.7, and California Revenue and Taxation Code Section 7284.)

B. Upon approval by a majority of the electorate, the ordinance will amend the Benicia Municipal Code Chapters 5.04 (Exhibit B) and 5.06 (Exhibit C) to update and modernize the manner by which the City imposes the BLT on businesses. Consistent with the requirements of Elections Code Section 13247, the City Council has authorized the abbreviated version of the Ballot Measure to be presented to the voters in the form of the ballot question identified in Resolution Section 3.

SECTION 3. Ballot Question. The City Council hereby approves and orders the following ballot question for the Ballot Measure to be submitted to the voters of the City of Benicia at the general municipal election on November 3, 2026:

<table>
<tr><th colspan="2">Measure X
Benicia Business License Modernization</th></tr>
<tr><td rowspan="2">Shall the City of Benicia adopt a Business License Tax measure, exempting businesses with $100,000 or less in annual receipts, setting tax rates by business category ranging from $0.25 to $1.25 per $1,000 in receipts, capping those annual taxes at $1,500 in the first year with 10% annual increases until the cap is $25,000, with a separate Marine Terminal rate of $3 per $100 in receipts, generating approximately $1,612,000 in the first year, until repealed by voters?</td><td>YES</td></tr>
<tr><td>NO</td></tr>
</table>

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SECTION 4: Publication of Measure. Pursuant to California Elections Code Sections 9223 and 9295, the Ballot Measure will be printed and made available for public examination upon request and for no fewer than ten (10) calendar days prior to being submitted for printing in the voter information guide. The full text of the Ballot Measure shall be printed in the voter information guide. The City Clerk shall post notice in the City Clerk's Office of the specific dates that the examination period will run. Notice of the general municipal election is hereby given and the City Clerk is authorized and directed to give further or additional notices of the special election in the time, form and manner as required by law, including the publication of a synopsis of the Ballot Measure at least one time not later than one week before the election.

SECTION 5: Filing with County. The City Council hereby directs the City Clerk to forward a certified copy of this resolution to the Solano County Board of Supervisors ("Board of Supervisors") and the County Registrar of Voters.

SECTION 6: Implementation. The City Clerk and City Manager are authorized to take all actions as necessary to effectuate the purposes of this resolution and the election. The City Manager is authorized to execute all documents and to perform all other necessary City acts to enter into a service agreement for the provision of election services with the Solano County Registrar of Voters. The City Clerk and City Attorney are authorized to make any typographical, clerical, and non-substantive corrections to this resolution as may be deemed necessary by the Solano County Elections Department.

SECTION 7: Majority Voter Approval of General Tax Ballot Measure. Since the Ballot Measure proposes a general tax, the Ballot Measure shall be approved only if approved by a majority (50% plus 1) of the voters voting on the Ballot Measure.

SECTION 8. Impartial Analysis. Pursuant to California Elections Code Section 9280, the City Council hereby directs the City Clerk to transmit a copy of the Ballot Measure to the City Attorney. The City Attorney shall prepare an impartial analysis of the Ballot Measure, not to exceed 500 words in length, showing the effect of the Ballot Measure on the existing law and the operation of the measure, and shall transmit such impartial analysis to the City Clerk.

SECTION 9. Ballot Arguments. Pursuant to California Elections Code Sections 9286 and 9287, the City elections official shall fix the date and time for submitting arguments for or against, as well as rebuttal arguments, for the Ballot Measure. Pursuant to California Elections Code Section 9282(b), the City Council hereby designates the five members of the Benicia City Council: Mayor Steve Young, Vice Mayor Trevor Macenski, Council Members Kari Birdseye, Lionel Largaespada, and Terry Scott as the individuals authorized to submit ballot arguments in favor of the Ballot Measure, and in rebuttal to any ballot argument in opposition to the Ballot Measure. The City Council hereby adopts the provisions of California Elections Code Section 9285 regarding the procedures by

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which the City elections official will consider ballot arguments in favor, against, or rebuttal for the Ballot Measure.

SECTION 10: Environmental Compliance. The City Council hereby finds and determines that this resolution is not subject to the California Environmental Quality Act ("CEQA") pursuant to Public Resources Code Section 21080(b)(8), and California Code of Regulations Section 15378(b)(5) because it relates to organizational or administrative activities of the City, it leads to the establishment of funding for City services within existing service areas, and will not result in direct or indirect physical changes to the environment.

SECTION 13: Severability. If any section, subsection, subdivision, sentence, clause, phrase, or portion of this Resolution is for any reason held to be invalid or unconstitutional by the decision of any court of competent jurisdiction, such decision shall not affect the validity of the remaining portions of this Resolution. The Council hereby declares that it would have adopted this Resolution, and each section, subsection, subdivision, sentence, clause, phrase, or portion thereof, irrespective of the fact that any one or more sections, subdivisions, sentences, clauses, phrases, or portions thereof be declared invalid or unconstitutional.

SECTION 14: Effective Date. This resolution shall take effect immediately upon its adoption.

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On motion of Council Member **Young**, seconded by Council Member **Birdseye**, the above Resolution was adopted by the City Council of the City of Benicia at a regular meeting of said Council held on the 21st day of July 2026 by the following vote:

Ayes: **Council Members Birdseye, Largaespada, Macenski, Scott, and Mayor Young**

Noes: **None**

Absent: **None**

Abstain: **None**

[redacted]
Steve Young, Mayor

Attest:

[redacted]
Lisa Wolfe, City Clerk

7/22/2026
_____
Date

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Exhibit A

Ordinance Amending Benicia Municipal Code Chapter 5.04 (Business License Tax) and Chapter 5.06 (Business License Tax Rates)

[see next page]

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CITY OF BENICIA

ORDINANCE NO. 2026-___

AN ORDINANCE OF THE VOTERS OF THE CITY OF BENICIA AMENDING BENICIA MUNICIPAL CODE CHAPTER 5.04 (BUSINESS LICENSES) AND CHAPTER 5.06 (BUSINESS LICENSE TAX RATES) TO UPDATE THE CITY'S BUSINESS LICENSE TAX

WHEREAS, prior to the effective date of this ordinance, the City of Benicia ("City") had established a business license tax that is imposed on businesses for the privilege of engaging in business within the City, as codified in Benicia Municipal Code ("Municipal Code") Chapter 5.04 ("Business License Tax") and Chapter 5.06 ("Business License Tax Rates"); and

WHEREAS, on July 7, 2026, the City Council directed staff to prepare a ballot measure, as set forth in this ordinance, for the voters to consider the amendments to the business license tax at the November 3, 2026 General Municipal Election; and

WHEREAS, this ordinance comprises the full text of the ballot measure to be considered by the voters at the November 3, 2026 General Municipal Election.

BE IT ORDAINED BY THE VOTERS OF THE CITY OF BENICIA:

SECTION 1. Amendment. Benicia Municipal Code Title 5, Chapter 5.04, Sections 5.04.020 through 5.04.060 and Section 5.04.090 are hereby amended in their entirety as set forth on Exhibit "A," attached hereto and incorporated by reference. Note that Municipal Code Sections 5.04.010, 5.04.070, 5.04.080, and 5.04.100 through 5.04.290 are not amended by this ordinance.

SECTION 2. Amendment. Benicia Municipal Code Title 5 Chapter 5.06 is hereby amended in its entirety as set forth on Exhibit "B," attached hereto and incorporated by reference.

SECTION 3. General Tax. The proceeds from the Business License tax established by this ordinance shall be for unrestricted general governmental purposes of the City.

SECTION 4. Severability. If any section, subsection, subdivision, paragraph, sentence, clause or phrase of this ordinance, or its application to any person or circumstance, is for any reason held to be invalid or unenforceable, such invalidity or unenforceability shall not affect the validity or enforceability of the remaining sections, subsections, subdivisions, paragraphs, sentences, clauses or phrases of this ordinance, nor its application to any other person or circumstance. The City declares that it would have adopted each section, subsection, subdivision, paragraph, sentence, clause, or phrase hereof, irrespective of the fact that any one or more other sections, subsections, subdivisions, paragraphs, sentences, clauses, or phrases hereof be declared invalid or unenforceable.

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SECTION 5. CEQA. The City finds that this ordinance is not subject to environmental review under the California Environmental Quality Act ("CEQA") because the ordinance is an activity that is excluded from the definition of a project by Public Resources Code sections 21065 and 21080(b)(8) and California Code of Regulations Sections 15273 and 15378(b) (the "CEQA Guidelines"). The proposed ordinance includes organizational or administrative activities of government which will not result in direct or indirect physical changes to the environment and are exempt from CEQA under CEQA Guidelines Sections 15060(c)(2) and 15061(b)(3).

SECTION 6. Adoption and Effective Date. Consistent with the requirements of Elections Code Section 9217, if a majority of voters vote in favor of this ordinance on November 3, 2026, it shall become a valid and binding ordinance of the City. Upon the date the City Council declares the result of the vote: (a) this ordinance is deemed adopted, and (b) the Mayor is hereby authorized to sign where indicated below. This ordinance shall go into effect 10 days after the date of the City Council's declaration of the result of the vote.

SECTION 7. Future Amendments. Pursuant to California Elections Code Section 9217, the City Council is authorized to amend Benicia Municipal Code Chapter 5.04 and 5.06 without a vote of the electorate; provided however, that a vote of the electorate is required for any proposed increase in the amount of the tax imposed by this ordinance.

SECTION 8. Termination Date. The City's authority to levy the tax imposed by this ordinance shall remain in effect until a majority vote of the qualified electors of the City terminate that authority.

PASSED AND ADOPTED BY THE VOTERS OF THE CITY OF BENECIA this 3rd day of November 2026.

APPROVED,

_____
Steve Young, Mayor

Attest:

_____
Lisa Wolfe, City Clerk

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Exhibit B

Ordinance Repealing and Replacing Chapter 5.04 (Business Licenses) of the Benicia Municipal Code Relating to the Business License Tax

[see next page]

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Chapter 5.04
BUSINESS LICENSES

Sections:

5.04.010 Purpose.

5.04.020 Definitions.

5.04.030 Tax payment required.

5.04.040 Exemptions.

5.04.050 Application required.

5.04.060 License tax certificate - Issuance.

5.04.070 License tax certificate - Display.

5.04.080 Audits and corrections.

5.04.090 Determination of tax classification.

5.04.100 Failure to file.

5.04.110 Penalties for delinquency.

5.04.120 Refunds.

5.04.130 Gross receipts confidential.

5.04.140 Evidence of doing business.

5.04.150 Constitutional apportionment.

5.04.160 Apportionment guidelines and other regulations.

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5.04.170 Misrepresentation of material fact.

5.04.180 Civil debt.
5.04.190 Remedies cumulative.

5.04.210 Cost recovery fee.

5.04.220 Revocation or suspension - Grounds.

5.04.290 Revocation or suspension - Procedure.

5.04.010 Purpose.

This chapter and Chapter 5.06 BMC are enacted solely to raise revenue for general municipal purposes. They are not intended to be regulatory. The payment of a license tax, and its acceptance by the city, and the issuance of a business tax certificate to any person shall not entitle the holder thereof to carry on any business unless he or she has also complied with all of the requirements of this code and all other applicable laws, nor to carry on any business in any building or on any premises designated in such business tax certificate if such building or premises is or are situated in a zone or location in which the conduct of such business is in violation of any law.

5.04.020 Definitions.

The following words and phrases, whenever used in this chapter, shall be construed as hereafter set out, unless it shall be apparent from the context that they have a different meaning.

A. "Administrator" means the finance director, his or her designee, or another city officer or employee charged by the city manager with the administration of this chapter.

B. "Business" means all activities that a person engages in, or causes to be engaged in, as a profession, trade, occupation, vocation, or calling, for the purpose of or in support of earning gain, benefit, or advantage, whether or not carried on for profit. Where a person subject to the tax acquires a business,

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unless that business is a newly established business, the business shall be deemed a continuation of the previous business and the gross receipts of the business from both before and after the acquisition shall be considered in calculating the amount of any tax due from the person engaging in the business at the time the tax is due.

C. “Established business” means each independently operated business entity operating in the city with central management operated by a taxpayer, that may include business activity in one or more license classifications. The administrator shall make a written determination of the scope of each established business as a part of the license tax certification process pursuant to BMC 5.04.060 and 5.04.090. Any two entities that are taxed together in the same year based on a failure to establish a “newly established business” pursuant to BMC 5.05.020(G) shall be considered the same “established business.”

D. "Gross receipts" means and includes the total amount of compensation received, charged, or receivable by a taxpayer in connection with the conduct of business activity within the City, whether or not the business activity is a part of or in connection with the sale of materials, goods, wares or merchandise. The forms of compensation included in "gross receipts" are all receipts, cash, credits, and value of service or property of any kind without deduction of the cost of the property sold, the cost of materials used, labor or service costs, interest paid or payable, or losses or other expenses.

1. Since the cost of service or property may not be deducted from the value of service or property when calculating gross receipts, if the gross receipts of a business are less than the “cost of operation” of that business, then the “cost of operations” shall be used in replacement “gross receipts” when calculating the license tax . The “cost of operations” means the cost of maintaining the operations of the business and includes, but is not limited to, rent, utilities, depreciation, salaries, wages, fixed charges, and other expenses
2. The following are excluded from "gross receipts":
    a. Cash discounts allowed and taken on sales;

    b. Credit allowed on property accepted as part of the purchase price

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and which property may later be sold;

c. Any tax required by law to be included in or added to the purchase price and collected from the consumer or purchaser;

d. Such part of the sale price of property returned by purchasers upon rescission of the contract of sale as is refunded either in cash or by credit;

e. Amounts collected for others where the taxpayer is acting as an agent or trustee to the extent that such amounts are paid by the taxpayer to those for whom the amount is collected, provided the taxpayer furnishes the administrator with the names and addresses of the others and the amounts paid to them;

f. That portion of the receipts of a general contractor which represents payments to subcontractors licensed under this chapter, provided the general contractor furnishes the administrator with the names and addresses of the subcontractors and the amounts paid to them;

g. Receipts of refundable deposits, except that refundable deposits forfeited and retained by the business are not excluded;

h. As to a real estate agent or broker, the sales price of real estate sold for the account of others except that portion which represents commission or other income to the agent or broker;

i. As to a retail gasoline dealer, a portion of his or her receipts from the sale of motor vehicle fuels equal to the motor vehicle fuel license tax imposed by and previously paid to the state of California pursuant to Part 2 of Division 2 of the California Revenue and Taxation Code;

j. As to a retail gasoline dealer, the special motor fuel tax imposed by Section 4041 of Title 26 of the United States Code if paid by the

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dealer or collected by him from the consumer or purchaser; and

k. Admissions charges for entertainment events, dances, concerts, exhibitions and lectures where such charges are collected by a religious, charitable, fraternal, educational, amateur theatrical, military, state, county or municipal organization, association, public benefit corporation or mutual benefit corporation, if the proceeds of such charges are used for the purposes or objects for which such organization, association or corporation was formed, and do not inure to the profit of any individual.

E. "License tax" means the tax imposed pursuant to BMC 5.04.030.

F. “License tax classification” means each distinct classification or category of business for which a different tax rate is established in BMC chapter 5.06, including: Contractor, General/Retail, Industrial, Marine Terminal, Petroleum, Professional, Property rental, Services, or Exempt.

G. "Newly established business" means a business which was not operated by the taxpayer, nor any person from whom the taxpayer acquired the business, during the calendar year that immediately precedes the date the taxpayer acquires the business. The following shall not be considered newly established businesses:

1. A business conducted at a new location whether based within or outside the city when the business conducted and taxed at a previous location during the preceding calendar year was discontinued at the same time, prior to, or within 30 days after commencement of business at the new location.

2. The business engaged in during the calendar year when the taxpayer acquired the business is the same kind as that engaged in at the same location during the immediately preceding year.

3. The business to be engaged in during the calendar year when the taxpayer acquired the business, though not the same kind of business, is taxed under the same section as the business engaged in during, but not necessarily throughout, the immediately preceding calendar year.

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Provided, that the administrator may, on written application by a taxpayer, and after considering all circumstances, make a written determination that a business described in this definition is in fact a newly established business and not a continuation of a business engaged in during the immediately preceding calendar year.

H. "Person" means and includes each natural person, domestic or foreign corporation, firm, association, syndicate, joint stock corporation, partnership, joint venture, club, business, or common law trust, society, estate, receiver, retirement plan, trustee individual or any other group or combination of individuals acting as a unit. Provided, however, for the purpose of this chapter, the definition of “person” shall exclude any natural person performing services as an “employee” (as defined by the California Department of Industrial Relations).

I. "Sale" includes the transfer of title to any kind of property for a consideration or the serving, supplying or furnishing for consideration of property. A transaction whereby the possession of property is transferred and the seller retains title as security for payment of the price is a sale. This definition does not exclude any transaction which results in a sale within the contemplation of law.

J. "Sworn statement" means an affidavit or a declaration or certification made under penalty of perjury under the laws of the state of California.

K. “Taxable calendar year” means the calendar year immediately prior to the February 1st due date for business taxes, as set forth in BMC 5.04.030.

L. "Taxpayer" means a person engaging in business subject to a tax imposed by this chapter.

5.04.030 Tax payment required.

A. Except as otherwise provided in this chapter, each person who engages in business within the city, whether or not at a fixed place of business, shall file an application in accordance with BMC 5.04.050 and pay a license tax in an amount calculated pursuant to Chapter 5.06 BMC. It is unlawful for a person to transact business in the city, without first complying with the requirements of this chapter. Each established business shall be required to file the application and pay the

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required license tax.

B.

1. The license tax with respect to business activity in each calendar year (the "taxable calendar year") shall be due on the February 1st immediately following the end of each year of business activity, and shall be delinquent on April 1st of that year. The license tax shall be calculated based on the gross receipts of the business during the taxable calendar year.

2. With respect to the first license tax due from a newly established business, if the taxpayer pays the maximum license tax in accordance with BMC 5.06.030, that maximum tax amount shall be prorated based on the number of whole or partial months remaining in the taxable calendar year on the date the taxpayer first conducts the business.

C. If two or more business activities of a single taxpayer for a single established business are taxable pursuant to Chapter 5.06 BMC at the same rate and on the same tax basis, the taxpayer may calculate and report the tax due for the activities as a group. If two or more business activities are taxable on the same tax basis, but at different tax rates, the taxpayer may calculate the tax for each activity separately or may elect to calculate the tax for the activities as a group by applying the highest tax rate applicable to any activity in the group. Provided, however, the tax basis and tax rate for any marine terminal business must be calculated separately from any other business activity subject to a separate business license classification.

D. Where a license tax is based on gross receipts, a taxpayer may elect to pay the maximum license tax indicated in Chapter 5.06 BMC rather than paying the tax that would otherwise be due under that chapter. In such event, the taxpayer need not report his or her gross receipts in the statement required by BMC 5.04.050.

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5.04.040 Exemptions.

A. The requirement to pay a license tax pursuant to BMC 5.04.030 does not apply to:

1. Any person transacting or carrying on any business exempted by the Constitution or laws of the United States or of the state of California from the license tax, but such exemption shall only extend to such exempt business and not to any other business in which such person may engage;

2. Any disabled veteran holding an honorable discharge from a branch of the military service of the United States, if he or she is physically unable to earn a livelihood by manual labor;

3. Any organization certified by the Internal Revenue Service as an exempt organization pursuant to Section 501(c)(3) of the United States Internal Revenue Code, except with respect to business activities for which the organization is required to pay federal income taxes;

4. Any established business whose gross receipts do not exceed $100,000 per taxable calendar year.

B. A person claiming an exemption under this section, as a part of filing the application required by BMC 5.04.050, shall file a sworn statement with the administrator stating the facts upon which the exemption is claimed. In the absence of a statement substantiating the claim, the person is liable for the payment of the license tax required by BMC 5.04.030.

C. Upon proper showing contained in the sworn statement, the administrator shall issue a license tax certificate to the person claiming exemption without payment to the city of the license tax otherwise required by BMC 5.04.030.

D. The administrator, after giving a person receiving a license pursuant to subsection (C) of this section notice and a reasonable opportunity for hearing, may revoke such license tax certificate upon receiving information that the licensee is not entitled to the exemption claimed.

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5.04.050 Application required.

A. Each person engaging in business within the city, whether or not at a fixed place of business, shall

file a written application by February 1st of each year with the administrator upon forms provided by the administrator indicating the business activity to be conducted, the location of the business, the officers or other principals of the business, the period for which the application is submitted, the amount of license tax due for that period, and sufficient information to allow computation of the license tax due. The application shall identify the relevant license tax classification (or classifications) for each relevant business, and the locations and relevant time period for which the business was actually operating during the taxable calendar year and plans to continue operating during the current calendar year. Unless the taxpayer pays the maximum license tax in accordance with BMC 5.04.030(D), the application shall also calculate the license tax amount and identify the gross receipts for the taxable calendar year.

1. As an exception to the timing requirement for filing this application, a person filing an initial statement for a newly established business shall file that statement within 30 days of commencing business.
2. As an exception to the requirement to file the application, the administrator may make a written determination that specified exempt persons or taxpayers are not required to file the application. Any such written determination by the administrator is subject to written amendment to require the filing of an application in future years.

B. The statement required by subsection (A) of this section shall also include a list of all persons to which payments were made and the taxpayer claims an exclusion from gross receipts (as defined by BMC 5.04.020(D), including contractors or subcontractors engaged by the taxpayer to conduct business in the city during the taxable calendar year.

C. Each application required by this section shall be accompanied by payment of the license tax due under this chapter.

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5.04.060 License tax certificate - Issuance.

A. The administrator shall issue a license tax certificate to each person who on behalf of an established business submits an application and pays the license tax (or is subject to an exemption) as required by BMC 5.04.030 through 5.04.050. The license tax certificate shall indicate the name of the business for which the license tax is paid, the person paying the license tax, the location of the business, the license tax classification of business for which the license tax has been paid, the period for which it has been paid, and such other information as is deemed necessary by the administrator for the administration of the tax.

B. A license tax certificate is not transferable, except that if the holder of a license tax certificate changes his or her place of business, he or she may apply to the administrator for a transfer of the license tax certificate to the new location. The city council may by resolution establish a fee to cover the city's administrative costs related to any such transfer application. A transfer application must be filed within 30 days of the establishment of a new location. Any such business that transfers locations shall not be considered a newly established business, as defined by BMC 5.04.020(G).

C. No license tax certificate shall be issued to any person until any previous indebtedness for taxes and fees imposed by this chapter upon that person, and with respect to the business for which the person seeks a license tax certificate, has been paid.

D. A license tax certificate is required for each branch or location of a business and for each separate type of business at a single location. No person shall transact or carry on business in the city except to the extent the business and location is designated on a license tax certificate issued in accordance with this section.

5.04.070 License tax certificate - Display.

A. Each taxpayer shall display his or her license tax certificate as follows:

1. If the license tax certificate is issued with respect to a business carried on at a fixed place, the taxpayer shall post the license in a conspicuous

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location at that place;

2. If the license tax certificate is issued with respect to a business that has no fixed place of business, the taxpayer shall keep the license upon his or her person at all times while conducting business;

3. If a taxpayer uses a motor vehicle in connection with his or her business, he or she shall affix to the vehicle in a manner specified by the administrator a tab furnished by the city showing that the license tax has been paid. The administrator may waive this requirement in the case of a taxpayer who operates three or more vehicles within the city, or in any case in which the administrator determines that this requirement is not necessary to the administration of the tax.

B. The administrator, any police officer, or any person authorized by the administrator to do so shall have the authority to enter any place of business taxed under this chapter at any reasonable time and demand exhibition of the license tax certificate issued with respect to that place of business.

C. Any person who willfully fails to exhibit a license tax certificate in the manner required by this section is guilty of a violation of this chapter punishable as a misdemeanor pursuant to BMC 1.08.010.

5.04.080 Audits and corrections.

A. Taxpayers shall maintain and preserve, for a period of at least four years following the date the tax was due, such records as may be necessary to determine the amount of the tax due and shall, upon request of the administrator, provide the necessary records to substantiate the tax paid or due for such business. If upon audit of such records, the administrator determines the tax imposed by this chapter has not been paid in full, the administrator shall notify the taxpayer of the balance due, including any accrued penalties and interest. Such amount shall be paid within 30 days after notice is issued by the administrator.

B. If an audit reveals an overpayment, the administrator shall notify the taxpayer of the amount overpaid. Unless the taxpayer requests a refund of the overpayment within thirty days after notice is issued by the administrator, the

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overpayment shall be applied as a credit against the next annual tax due from that taxpayer.

C. If an audit reveals an underpayment of $25.00 or less, the administrator need take no action to collect the underpayment.

D. Rather than request information and conduct an audit, the administrator may request a taxpayer to file a corrected statement pursuant to BMC 5.04.050. If such corrected statement is filed and the administrator is satisfied with its accuracy, the existence of any underpayment or overpayment under this section shall be determined with reference to that corrected statement. If a taxpayer fails to file a corrected statement or the administrator is not satisfied with a corrected statement, the administrator may conduct an audit pursuant to subsection (A) of this section.

5.04.090 Determination of tax classification.

A. The determination of the class of business and the determination of the scope of each established business in which an applicant for a tax certificate is engaged for purposes of Chapter 5.06 BMC shall be a ministerial task of the administrator. The administrator may, at any time within one year after receiving a statement pursuant to BMC 5.04.050, correct the classification reported by a taxpayer and recalculate the tax due. The administrator shall then treat the results of this recalculation as the results of an audit.

B. In the event an applicant disagrees with the determination of the administrator as to the class of business in which the applicant is engaged, the applicant may file an application for reclassification with the administrator. This application shall set forth with specificity the facts upon which it is based. Upon receipt of a reclassification application, the administrator shall review the matter and either affirm the original classification or assign a new classification and shall notify the applicant of the decision in writing, which shall be final.

C. The administrator may refuse to accept an application for reclassification from an applicant who has applied for reclassification within the previous 12 months if the application fails to state material and relevant facts that were not and could

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not have been presented in the previous reclassification application.

5.04.100 Failure to file.

A. If a person fails to file a required application or statement or fails to file a corrected statement within 15 days of a demand by the administrator, the administrator may determine the amount of license tax due, using the information he or she is able to obtain.

B. When the administrator makes a determination under subsection (A) of this section, he or she shall give a notice of the amount of license tax due by serving it personally or by mail, postage prepaid, addressed to the taxpayer at his or her last known address.

C. Payment of the corrected tax shall be due within 15 days of the service or mailing of the notice pursuant to subsection (B) of this section.

5.04.110 Penalties for delinquency.

A. Upon a taxpayer's failure to pay the entire tax when due, the administrator shall add a penalty of the greater of $10.00 or 10 percent of the unpaid tax on the first day of each month following the month the tax was due; provided, however, no penalty shall be assessed in excess of 50 percent of the tax due. For the purposes of this chapter, a payment made by mail shall be deemed received on the date of a postmark on the envelope in which the payment is received, or if payment is made by means other than U.S. mail, payment shall be deemed received on the date the payment is stamped "received" by the administrator or his or her designee.

B. On the first day of the month following the date on which the maximum penalty provided for in subsection (A) of this section has accrued, interest at the rate of one percent per month shall begin to accrue. Interest shall accrue at this rate on the amount of the unpaid tax, exclusive of penalties, for each month or portion of a month until the tax is paid.

5.04.120 Refunds.

No tax shall be refunded unless it is determined by the administrator that it has been paid in error, computed incorrectly, overpaid, or collected illegally. No refund shall be

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made unless a written request therefor is received by the administrator within one year of the payment of the tax.

5.04.130 Gross receipts confidential.

Information concerning gross receipts or operating costs furnished or secured pursuant to the provisions of this chapter shall be confidential, shall not be subject to public inspection, and shall not be made available to anyone not charged with the administration of this chapter.

5.04.140 Evidence of doing business.

The use of signs, circulars, cards or any other advertising media, including, without limitation, the use of telephone solicitation, or any other means by which a person may hold himself or herself out as, or represent that he or she is, doing business in the city, shall constitute evidence that a person is doing business in the city.

5.04.150 Constitutional apportionment.

A. If a person believes that the license tax, as applied to him or her, places an undue burden on interstate commerce or violates the due process or equal protection clauses of the United States or California Constitutions, he or she may apply to the administrator for an adjustment of the tax. Such adjustment shall be supported by a sworn statement setting forth the method of business and gross receipts calculations and such other information as the administrator may consider necessary to consider the claim.

B. The administrator shall review any application pursuant to subsection (A) of this section, and shall fix as the license tax an amount that is reasonable, nondiscriminatory and consistent with applicable law. The amount so fixed shall not exceed the amount that would otherwise be due pursuant to this chapter.

5.04.160 Apportionment guidelines and other regulations.

The administrator, in consultation with the city attorney, and subject to the approval of the city manager, may:

A. Promulgate guidelines for the apportionment of the gross receipts of businesses which operate both inside and outside the city to assist taxpayers in

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calculating the portion of their activities subject to the tax imposed by this chapter; and

B. Adopt any other rules or regulations necessary or desirable for the enforcement of this chapter.

Any apportionment guidelines or rules or regulations for the enforcement of this chapter shall be effective only after they have been published in the manner required for an ordinance of the city.

5.04.170 Misrepresentation of material fact.

It is a violation of this chapter punishable as a misdemeanor pursuant to BMC 1.08.010 to knowingly or intentionally misrepresent to any officer or employee of the city any material fact, relative to any tax imposed under the provisions of this chapter.

5.04.180 Civil debt.

The amount of tax, fee, penalty, or interest imposed by the provisions of this chapter shall be deemed a debt to the city. An action to recover such debt may be commenced in the name of the city in any court of competent jurisdiction.

5.04.190 Remedies cumulative.

The conviction and punishment of any person for failure to comply with the provisions of this chapter shall not relieve that person from paying any tax, fee, penalty, or interest due and unpaid at the time of

such conviction, nor shall payment prevent prosecution of a violation of any provision of this chapter.

A ll remedies shall be cumulative, and the use of one or more remedies by the city to enforce this chapter shall not bar the use of any other remedy.

5.04.210 Cost recovery fee.

In addition to the license tax imposed pursuant to this title, the city council may, by resolution, establish and impose a fee, to be collected with the license tax, to recover the city's costs of implementing the requirements of this title, including the costs of compliance and audit programs. The anticipated proceeds of such fee shall not exceed the city's actual or expected implementation costs.

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5.04.220 Revocation or suspension - Grounds.

The administrator may revoke or suspend a license granted under this chapter for any of the following reasons:

A. A false statement in the application;

B. Failure to comply with a regulatory provision in the statutes of the state or the ordinances of the city;

C. Failure to operate the business in an orderly and business-like manner in obedience to orders, rules and regulations applicable to it;

D. Conducting business in an illegal, improper or disorderly manner, or in a manner which endangers the public welfare.

5.04.290 Revocation or suspension - Procedure.

A. Authority of Administrator. The collector shall give the licensee written notice of the grounds for revocation or suspension. The notice shall specify a time and place of hearing, and shall be given at least five days before the time of the hearing. The licensee shall show cause why his license should not be revoked or suspended.

B. Appeal to Council. The licensee may appeal the decision of the administrator to the council in accordance with Chapter 1.44 BMC.

C. Failure to Appeal. If the licensee does not appeal, the decision of the administrator is final and conclusive on expiration of the time fixed for appeal.

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Exhibit C

Ordinance Repealing and Replacing Chapter 5.06 (Business License Tax Rates) of the Benicia Municipal Code Relating to the Business License Tax

[see next page]

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Chapter 5.06

BUSINESS LICENSE TAX RATES

Sections:

5.06.010 Definitions.

5.06.020 Total tax due.

5.06.030 Gross receipts tax.

5.06.010 Definitions.

Except where indicated to the contrary or where the context clearly requires to the contrary, all terms used in this chapter shall have the meanings given in Chapter 5.04 BMC, as supplemented below.

A. "License tax classification" means each type of business for which a different tax rate is established in BMC chapters 5.04 and 5.06, including:
   1. "Contractor" means each business engaged in the construction or repair of any building, structure, or physical improvement to land, including any business licensed as a contractor by the State of California, and including any business undertaking or causing to be undertaken any development, improvement, alteration, demolition, or excavation of land; however, excluding any business with a professional license (such as an engineer or architect). Examples include but are not limited to grading, landscaping, construction, plumbing, or HVAC.
   2. "General/Retail" means each business engaged in retail and other general businesses including, but not limited to, sale of goods, wares, merchandise, grocers, restaurants, peddlers, solicitors, or cannabis businesses.
   3. "Industrial" means each businesses primarily engaged in manufacturing, fabrication, processing, warehousing, wholesaling, or distribution activities that support the production, storage, and movement of goods, typically operating in dedicated industrial facilities with limited or no direct retail interaction with the public. Industrial shall include any business characterized as "Heavy Industry" such as businesses engaged in large-scale manufacturing, processing, or material transformation that require significant fixed infrastructure, specialized equipment, and high energy or resource inputs. These operations typically involve bulk materials (e.g., metals, chemicals, aggregates) and generate substantial economic output relative to footprint.
   4. "Marine Terminal" means each business primarily engaged in operating waterfront terminal facilities, including cargo terminals, for the receipt, transfer, handling, loading, unloading, storage, or temporary storage of waterborne cargo, containerized cargo, bulk commodities, or petroleum products between vessels and landside transportation or distribution systems, including related stevedoring, marine cargo handling, intermodal transfer, bulk liquid transfer, tank storage, and terminal pipeline activities. "Marine Terminal" may include: facilities engaged in petroleum bulk storage or petroleum product distribution where such activities are conducted as part of terminal operations; and/or establishments primarily engaged in operating ports, harbors (including docking and pier facilities), or canals; and/or establishments operating as import or distribution (or both) terminals for automobiles or other goods; and/or establishments offering comprehensive logistic services and supply chain services for

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auto processing involving use of marine facilities. Marine Terminal" does not include businesses primarily engaged in manufacturing, fabrication, or industrial processing, which shall be classified as "industrial."

5. "Petroleum" means each business engaged in the production, refining, transportation, wholesale distribution, or retail sale of petroleum and petroleum-based products, including fuels, lubricants, and related energy commodities. These activities typically involve capital-intensive infrastructure, regulated handling and storage of hazardous materials, and revenue streams driven by high transaction volumes and commodity price volatility.
6. "Professional" means each business engaged in a professional or para-professional advanced service that requires rigorous training through higher education or vocational institutions that certify the complete acquisition of skills and the ability to provide such professional or para-professional services. This also includes businesses that can be considered para-professional or "advanced services," such as those in the research and development and scientific fields. Examples include, but are not limited to the practice of law, medicine (including physician, surgeon, chiropodist, dentist, ophthalmologist, optometrist, osteopathic, podiatrist), acupuncturist, chiropractor, dental technician, laboratory technician, massage establishments and technicians, pharmacist, physiotherapist, physical therapist, radiologist, scientist, speech therapist, mortician, undertaker, psychologist, psychotherapist, marriage counselors, veterinarian, accountant, bookkeepers, income tax consultants, income tax preparers, licensed financial planner, licensed investment counselor, stock/bond or security agent or broker, appraiser, architect, engineer (including civil, mechanical, electrical, industrial, surveyor, geologist, or other class of engineer), real estate agent, real estate broker, real estate sales, real estate management, property management, or developer.
7. "Property rental" means each business that leases, rents, or provides use of real property to another individual or entity for compensation. Examples include, but are not limited to, commercial leasing, residential rental, parcel leasing, hoteliers, or short-term renters of residential property.
8. "Services" means each business engaged in providing or offering services that do not meet the definition of any other classification set forth in this section, generally including those services that require minimal to no higher education or training. Examples include, but are not limited to, hair stylists, nail and skin care services, salons, clothing and shoe services (e.g., laundries, cleaners), photography, recreation, entertainment, theaters, amusement, athletic or sporting facilities, billiards, bowling, or golfing facilities.
9. "Exempt" means a business that is exempt as defined by BMC 5.04.030.

5.06.020 Total tax due.

The amount of the license tax owed by a taxpayer pursuant to BMC 5.04.030 with respect to any business activity within the city shall be determined in accordance with this chapter 5.06.

5.06.030 Gross receipts tax.

The license tax owed for each established business shall be calculated based on the gross receipts in the taxable calendar year (i.e., the calendar year prior to the February 1st on which the tax is due, pursuant to BMC 5.04.030).

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A. The license tax owed for any business classified as a contractor shall be $0.75 per $1,000 of gross receipts received in the taxable calendar year.

B. The license tax owed for any business classified as general/retail shall be $0.25 per $1,000 of gross receipts received in the taxable calendar year.

C. The license tax owed for any business classified as industrial shall be $1.00 per $1,000 of gross receipts received in the taxable calendar year.

D. The license tax owed for any business classified as marine terminal shall be $3.00 per $100 of gross receipts received in the taxable calendar year. Thus, $30 per $1,000 of gross receipts equals $3.00 per $100 of gross receipts.

E. The license tax owed for any business classified as petroleum shall be $1.25 per $1,000 of gross receipts received in the taxable calendar year.

F. The license tax owed for any business classified as professional shall be $1.00 per $1,000 of gross receipts received in the taxable calendar year.

G. The license tax owed for any business classified as property rental shall be $1.00 per $1,000 of gross receipts received in the taxable calendar year.

H. The license tax owed for any business classified as services shall be $0.75 per $1,000 of gross receipts received in the taxable calendar year.

I. To the extent that any business is classified as exempt, the license tax owed shall be $0.00 per $1,000 of gross receipts received in the taxable calendar year.

J. Notwithstanding the calculation of the license tax based on gross receipts, as set forth in BMC 5.06.040, the maximum license tax that any person shall be required to pay pursuant to this section with respect to any calendar year shall be $1,500 per established business, subject to the following exception and adjustments. To the extent the maximum license tax is increased for any January 1, it shall apply to taxable activity in that calendar year.

1) As an exception, the maximum license tax set forth in this subsection 5.06.030(J) shall not apply to any business classified as marine terminal.
2) The $1,500 maximum license tax shall be increased by 10% effective January 1, 2028. Thereafter, the maximum license tax shall be increased by 10% each January 1 until the maximum license tax reaches the amount of $25,000.

K. Beginning December 15, 2027, and by each December 15 thereafter, the

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administrator shall publish the adjusted maximum license tax that will be in effect the following January 1. The publication shall be made in the manner required for publication of ordinances of the city.

L. The city council may, by resolution, suspend or reduce the amount of the license tax owed in accordance with this chapter; provided, however, city council may also by resolution reinstate the license tax owed under this chapter in an amount that does not exceed the maximum amounts that could be calculated under this BMC 5.06.030. The city council may amend this chapter by ordinance and without voter approval; provided that voter approval shall be required for any increase to the amount of the license tax imposed in accordance with this chapter. The expiration or termination of any such suspension shall not require voter approval; provided, that the tax is not imposed on any person in an amount in excess of the inflation-adjusted rates or amounts authorized by this chapter.